INTERNAL · NOT FOR CLIENT

Tier rationale
Kotn.

Growth + Studio at launch.
Enterprise when AR provenance, wholesale, or EU residency triggers.

Audience · Internal only
Use · Reference for the conversation; never share with the brand
Status · Draft for discussion

THE RECOMMENDATION

Growth ($3,500) + Studio ($750) = $4,250/mo at launch.

A multi-region B Corp with a citation-linked impact ledger and serious AI ambitions cannot live on Starter. Enterprise on day one over-charges and under-utilises. Growth + Studio is the right shape — and Studio is doubly important here: every customer-facing claim must be approved by the brand's editorial team before publish.

WHY STARTER IS DISQUALIFIED

Single-platform / 5-screen / no-AI is incompatible with the proposition.

STARTER CONSTRAINT	KOTN REALITY
Single platform (iOS or Android)	Both — CA/US lean iOS, but international growth requires Android coverage.
5 screens	Phase 1 scope is ~18 screens including The Origin and The Field.
No AI	Origin summary AI, Atelier chat, multilingual translation are core to the value.
24h email support	Provenance questions need same-day answers — brand reputation is the entire moat.

If the brand pushes for Starter on price, walk away. We'd lose money supporting them and they'd hate the result — and we'd put their reputation at risk.

WHY GROWTH FITS PHASE 1

The features map exactly to what the proposal needs.

GROWTH FEATURE	WHAT IT DELIVERS FOR KOTN
Both stores, RN + Expo	Single codebase serves CA/US/UK/EU mixed-OS reality. OTA matches drop cadence.
Claude Sonnet + Haiku	Sonnet powers the Atelier chat in EN/FR. Haiku batches Origin summaries and translation drafts.
RevenueCat	Future-proofs subscription mending-kit boxes or "Threads Plus" membership.
Apple + Google sign-in	Reduces install friction.
ASO quarterly	"Egyptian cotton t-shirt", "ethical basics", "B Corp clothing" all matter.
2 releases / month	Drop cadence + store-event timing demand a regular rhythm.
Shared Slack, 4h response	Right level for a values-led brand at launch.

STUDIO ADD-ON ($750/mo)

Mandatory and especially important here.

Kotn's brand is built on verifiable claims. The Studio is where every claim is reviewed, cited, and approved before it reaches a customer. Don't make this optional.

COMPONENT	REAL COST / MO	MARGIN NOTES
Web hosting	$20–40	Often shared with mobile API
DB delta (provenance ledger, citations, dispatches)	$10–20	Higher than other clients due to citation-linked data
Object storage (audio + maker photos + audit PDFs)	$10–30	Maker audio + cited audit PDFs add weight
Editorial AI (origin drafts, translations, returns triage)	$25–70	Multilingual editorial work
Email + push	$10–20	Multi-region, multilingual
Auth (~25 internal seats)	$0	Free tier on Supabase / Clerk
Subtotal infra + AI	**~$75–180**	**Citation infrastructure adds modest cost**

MARGIN AT $750/MO

Real cost ~$130/mo (mid-band). Includes ~5 maintenance hrs/mo + Studio releases aligned with mobile cadence. Gross margin ~80% before maintenance hours consumed. Healthy.

STUDIO ONE-TIME BUILD COST

Roughly **$30–45K** on top of the mobile build. 8 modules in Phase 1: auth + origin/passport editor (with citation manager) + drop scheduler + education ledger admin + maker dispatches + concierge + atelier (repair) queue + analytics. Citation-management UX is the additional complexity vs other clients.

WHY ENTERPRISE IS PREMATURE

Three reasons to hold the upgrade for now.

1. AR provenance is Phase 2

Phase 1 has no AR. RN delivers everything in scope. Native modules matter when AR provenance overlay goes live.

2. Wholesale portal is Phase 2

SSO + audit logging + RLS hardening are needed when real B2B comes online. Phase 1 has no wholesale.

3. EU residency not yet contractual

UK/EU shipping is fine on a multi-region storefront. Data-residency clauses become contractual once volume becomes material.

4. SLA mismatched to launch

1h response 24/7 (Enterprise) is for live-revenue partners. The web store carries the revenue. 4h is right for the app.

YEAR-2 UPGRADE TRIGGERS

Move them to Enterprise the moment any one fires.

TRIGGER	WHY IT FORCES THE UPGRADE
AR provenance overlay goes live	Stable AR with origin overlay needs native Swift / Kotlin modules.
Wholesale / corporate gifting portal	SSO + audit logging + RLS — required for B2B and hotel partners.
EU/UK GDPR data-residency clause	EU storage and processing as European volume becomes material.
Carbon-tariff (CBAM) audit-readiness	EU CBAM-style regulations may require Enterprise-grade audit logging.
24/7 1h SLA	Major retail partner makes uptime a contract clause.

LIKELIHOOD BY MONTH 12

Wholesale: **medium-high** — the brand has hotel partner conversations already happening. AR: **medium**. EU residency: **medium** — depends on UK/EU expansion. CBAM: **medium-high by 2027** — get ahead of it.

DEAL-MAKING TACTICS

How to anchor and protect the conversation.

- **Lead with Growth + Studio as one $4,250 number.** Don't separate them — they're inseparable in practice.
- **The Origin is the demo.** If the brand is on the fence, build a working Origin scan-to-passport for one SKU during discovery. Show, don't tell.
- **Pre-negotiate the Enterprise upgrade path.** Lock the upgrade fee in Year 1 — easier to land Growth today.
- **Brand-side citation review is non-negotiable in the contract.** Every customer-facing impact / provenance / maker claim requires Kotn approval. Protects both sides.
- **AI overage clause.** Usage above 100K LLM calls/month at cost +20%.
- **Maker-privacy clause.** No customer-facing precise GPS, no real names without explicit maker consent. Get this in writing.

WHAT WE DON'T SAY OUT LOUD

Internal-only notes.

REPUTATION RISK TO MANAGE

The brand's value is verifiable provenance. A single AI-generated provenance claim that turns out to be wrong is a viral story. Insist on human curator review for every customer-facing origin string. Budget for a senior editorial QA in our team.

MARGIN TARGET — COMBINED

Growth tier infra+AI cost at expected MAU (~7K active in Year 1) is roughly $900–1,300/mo. Plus Studio at ~$130/mo. At combined $4,250/mo we're at 65–75% gross before our maintenance dev. Healthy.

UPSELL SEQUENCING

Don't propose AR provenance at the same time as the Phase 1 contract. Land Growth + Studio, deliver The Origin and The Field well, *then* propose AR as the trigger for Enterprise.

WALK-AWAY SIGNALS

If they push back on the brand-side citation-review clause, walk. Without it, we carry reputation risk we can't price.

RECOMMENDED ASK

Growth ($3,500) + Studio ($750) = $4,250/mo for Year 1. Pre-negotiated Enterprise upgrade. AI overage at cost +20%. Brand-side citation review on every customer-facing provenance/ impact claim. Maker-privacy clause. $30–45K Studio build inside Phase 1.

Right tier for a B Corp with a real impact ledger. The Origin alone justifies the investment.